

25SMCV06181 25SMCV06181

County: los-angeles

Division: Civil Law and Motion

Department: P

Hearing date: 2026-09-23

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Case Number: 25SMCV06181 Hearing Date: September 23, 2026 Dept: P

Tentative

Ruling

N

Family Services v. Palisades Capital Fund Management, LLC, et al., Case No.
25SMCV06181

Ronald

A. Waters and Danielle C. Waters' Demurrer with Motion to Strike

Hearing

Date: September 23, 2026

Background

Plaintiff

N Family Services, LLC sues Defendants Palisades Capital Fund Management, LLC; Palisades Funding, Inc.; The Palisades Capital Partners; Patrick D. McKenna; Leslie H. Gornik; Ronald A. and Danielle A. Waters in their individual capacity and in their representative capacity as Trustee of Texas Property Trust, and Does 1-10 for breach of contract, unlawful withholding of security deposit, and fraud. Plaintiff alleges that Defendants developed property located at 15975 Alcima Ave., Pacific Palisades, CA and held several loans on the property. (Complaint, ¶ 1.) Plaintiff alleges that Defendants fraudulently induced it to loan Defendants \$2.75 million to cover junior deeds of trust on the property and pay a \$600,000 security deposit, constituting four months rent. (Ibid.) Plaintiff alleges that Defendants spent the security deposit money paying off creditors and failed to disclose loans in default, resulting in a foreclosure by which

Plaintiff lost its equity in the property and security deposit. (Id. at ¶ 3.)

On

November 26, 2025, Plaintiff filed the initial complaint.

On

February 2, 2026, Plaintiff entered default against Palisades Capital Fund Management, Palisades Funding, Inc., and The Palisades Capital Partners.

On March

30, 2026, Ronald A. Waters and Danielle C. Waters ("the Waters") filed a demurrer to the complaint.

On May 19,

2026, Plaintiff filed the operative First Amended Complaint ("FAC").

On June

22, 2026, the Waters filed this demurrer and motion to strike. On September 10, 2026, Plaintiff filed opposition. On September 15, 2026, the Waters replied.

Arguments

The Waters

demur to Plaintiff's fourth cause of action for fraud on the grounds that it fails to state facts sufficient to constitute a cause of action against the Waters and on the grounds that it is uncertain. The Waters contend that the FAC fails to state a claim against the Waters for fraud because it does not allege with specificity that the Waters made any misrepresentations to Plaintiff. (Demurrer, p. 9.) The Waters also argue that the FAC fails to plead fraudulent concealment because it does not allege that the Waters concealed or failed to disclose any material facts. (Id. at p. 10.) The Waters also argue that the FAC fails to plead reliance and is uncertain because it does not identify any acts by the Waters defendants with specificity. (Id. at pp. 11-15.)

In

opposition, Plaintiff argues that the FAC states a claim for civil conspiracy to defraud Plaintiff by joining a scheme, masterminded by McKenna and Gornik, who falsely represented that the other Defendants approved Plaintiff's junior encumbrance, while the Waters knowingly facilitated and benefitted from the scheme. (Opposition, p. 5, 8-9.) Plaintiff also argues that the FAC is not

uncertain. (Id. at p. 14.) In the alternative, Plaintiff requests leave to amend. (Id. at p. 15.)

In reply, the Waters argue that the FAC does not allege actual knowledge that the fraud was planned and intent to aid in the commission of the alleged fraud. (Reply, p. 4.) The Waters argue that the FAC's allegation that the Waters knew about the alleged fraud is insufficient because the FAC does not allege facts showing how the Waters would have known about the alleged fraud. (Id. at p. 5.) The Waters argue that Plaintiff's caselaw is distinguishable because the cases concern tacit agreement, which is not what the FAC alleges. (Id. at p. 7.) The Waters argue that the underlying fraud claim is insufficient and that the repayment allegations do not adequately connect the Waters defendants to the alleged false promises. (Id. at p. 9.)

In a demurrer proceeding, the defects in the complaint must be apparent on the face of the pleading or via proper judicial notice. (*Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) "A demurrer tests the pleading alone, and not the evidence or facts alleged." (*E-Fab, Inc. v. Accountants, Inc. Servs.* (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (*Ibid.*) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, "[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend." (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245).

Before filing a demurrer, parties must meet and confer in person or by phone. (Code Civ. Proc. § 430.41.)

Discussion

Meet and Confer

The

Waters' counsel met and conferred with Plaintiff's counsel on June 18, 2026, before filing this demurrer. The meet and confer requirement is satisfied.

Conspiracy
to Defraud

A

complaint states a claim for civil conspiracy where it alleges facts showing (1) defendants' agreement to the objective and course of action to injure; (2) wrongful act pursuant to such agreement; and (3) resulting damage. (*Klistoff v. Superior Court* (2007) 157 Cal.App.4th 469, 479 ["The elements of an action for civil conspiracy are (1) formation and operation of the conspiracy, and (2) damage to plaintiff resulting from an act or acts done in furtherance of the common design."]; *Wyatt v. Union Mortgage Co.* (1979) 24 Cal.3d 773, 784-786 [conspiratorial agreements may be circumstantially inferred from circumstances including the nature of the acts, the relations of the parties--e.g., family business, or corporate officers or directors), and the interests of the alleged conspirators].)

The Waters

argue that the FAC alleges insufficient facts to support its conclusory allegation that the Waters participated in a conspiracy to defraud Plaintiff. "While a complaint must contain more than a bare allegation the defendants conspired, a complaint is sufficient if it apprises the defendant of the 'character and type of facts and circumstances upon which she was relying to establish the conspiracy.'" (*AREI II Cases* (2013) 216 Cal.App.4th 1004, 1022, citing *Schessler v. Keck* (1954) 125 Cal.App.2d 827, 833.) In the *AREI II Cases*, which the Waters cite in reply, the Court found that a complaint's allegations that Morgan Keegan & Co, Inc., which assisted AREI in structuring joint ventures that concealed AREI's owner's criminal history, was involved with AREI's development of a master deal for several months, gained detailed insider knowledge about AREI's operations, and acted as a go-between between AREI and prospective lenders were sufficient to state a claim for conspiracy. (*Id.* at 1022-1023.)

Here,

Plaintiff's allegations describe a complicated pattern of loans on the subject

property. Plaintiff alleges that the four Palisades Entity defendants (hereinafter “Palisades Entities”) were operated and managed by Defendants McKenna and Gornik. (FAC, ¶ 10-11.) Plaintiff alleges that the Palisades Entities purchased and developed the subject property. (Id. at ¶ 4.) Plaintiff alleges that in March 2022, the Waters loaned one of the Palisades Entities \$600,000. (Id. at ¶ 22.) Plaintiff alleges that in April 2022, McKenna borrowed \$13,750,000 from Partners Capital Solutions REIT I, LLC (“PCS”) on the condition that the loan would be a superior to all other encumbrances and that McKenna would not assume new encumbrances without PCS’s approval. (Id. at ¶ 20.) Plaintiff alleges that as development progressed, McKenna and Gornik developed a scheme to fund development by encumbering the property with junior deeds of trust and not disclosing these deeds to PCS. (Id. at ¶ 19.) Plaintiff alleges that the Waters structured these junior liens with McKenna and Gornik. (Id. at ¶¶ 19, 21.) Plaintiff alleges that McKenna and Gornik made a series of misrepresentations to induce Plaintiff to loan the Palisades Entities \$2.4 million. (Id. at ¶¶ 25-27.) Plaintiff alleges that the Waters participated in the scheme by accepting funds from Plaintiff’s loan to satisfy the Waters’ \$600,000 debt while knowing that PCS was unaware of the junior encumbrances. (Id. at ¶ 72.) Plaintiff also alleges that the Palisades Entities made no payments on the Waters’ loan and had a relationship with McKenna that involved loaning money to other entities. (Ibid.)

In support of Plaintiff’s contention that the FAC states a claim for conspiracy, it cites *Wyatt v. Union Mortgage Company* (“Wyatt”) (1979) 24 Cal.3d 773, a mortgage fraud case. In *Wyatt*, the Supreme Court of California found that evidence that a corporate officer instructed other company officials that “late charges were a great source of income,” and that “it had been a policy of the company that if the first payment was late, all the rest of the payments would be automatically late,” sufficient to state a claim for conspiracy, combined with evidence that the mortgage lender was a tight-knit operation under the officer’s personal control. (*Wyatt*, supra 24 Cal.3d at 785.)

Here, after careful review the Court finds that the allegations in the FAC fall short of both *Wyatt* and the *AREI II* Cases. In the context of the complex scheme alleged, the FAC does not describe the relationship between the Waters and McKenna and Gornik in sufficient detail to support a claim that the Waters conspired with McKenna and Gornik to defraud Plaintiff. Here, Plaintiff alleges only that Waters loaned McKenna and Gornik a comparatively small

amount, knew that they were accepting junior loans without telling PCS, and later were paid out of Plaintiff's money. These allegations are not sufficient to show an agreement between the Waters and McKenna and Gornik to defraud Plaintiff. As such, the Waters' Demurrer to Plaintiff's fourth claim of fraud is SUSTAINED.

Plaintiff

requests leave to amend. (Opposition, p. 15.) The FAC's allegations portray a complicated web of loans connected to the subject property and the involvement of several entities and individuals, including the Waters and their trust. As this is the first demurrer in this action, the Court is not prepared to find that there is no reasonable possibility that an amendment will not state a claim for fraud against the Waters individually or as trustees of the Texas Property Trust. Therefore, the Court grants leave to amend.

Motion

to Strike

The Waters

move to strike Plaintiff's claim for punitive damages and attorneys' fees.

Plaintiff's claims for punitive damages and attorneys' fees is based on its fraud claim. Since the Court sustains Plaintiff's demurrer with leave to amend, the motion to strike is moot.

Conclusion

The

Waters' demurrer is SUSTAINED with leave to amend.

The

Waters' Motion to Strike is DENIED as moot.